

China Conference Takeaways: accelerating AI monetization; focus on growth visibility

Industry Overview

ERP/photo & design tools better; solid AI monetization

We hosted investor meetings with the management of 10+ software companies (e.g., Kingdee, Meitu, Chinasoft, Ming Yuan Cloud, Xunce and etc.) at the 2026 BofA China Conference in Shenzhen during the week of May 11. We also hosted an expert meeting on agentic AI and AI models.

Key takeaways include: (1) software AI monetization is generally accelerating, with ARPU uplift potential driven by token-based revenue models; (2) AI is driving a shift in software service models, transitioning from SaaS to RaaS; (3) demand trends are diverging: ERP / photo editing & design tools demonstrate better growth visibility, supported by rising AI revenue contributions and a higher share of recurring revenue; while IT outsourcing, cybersecurity, and property software demand remain soft; (4) by client type and vertical: SOEs—particularly those in critical infrastructure sectors (e.g., energy)—as well as large private enterprises, are showing solid demand, while demand from gov't-related clients has yet to recover; and (5) overall cash flow and profitability are expected to further improve in FY26E, supported by disciplined headcount expansion and rising operating efficiency driven by AI. Considering growth visibility and risk/reward on valuation, our preferred Buy-rated names are **Kingdee** and **Meitu**.

Key takeaways from agentic AI expert meeting

We hosted an expert meeting with Mr. Wang Zhe (Founder of Hangzhou Baizefeng Intelligent Technology) to discuss recent developments in AI applications and LLMs. Key takeaways: 1) AI coding capability has experienced rapid improvement, significantly enhancing developer productivity, driving a structural decline in software development costs; 2) software monetization models are shifting from traditional seat-based pricing toward usage- and token-based pricing; 3) industry structure is evolving, with large software vendors and small, agile teams emerging as potential beneficiaries, while mid-sized software companies may face increasing pressure for business transformation; and 4) rising adoption of multi-model strategies is lowering switching costs and intensifying competition across LLM vendors.

Key takeaways from UCloud mgmt. meeting

We hosted an investor meeting with UCloud (Not covered) mgmt. during our AI/Tech tour in Shanghai. Mgmt is positive on the AI cloud computing demand especially for AI inferencing. Due to recent stronger demand and higher costs for AI servers, they have raised the price of GPU-based AI cloud services by 20-25% on average. Its profitability has been improving in the past few quarters and has achieved breakeven since 4Q25. Looking ahead, mgmt. targets to expand both their AI cloud services and data center business (in Shanghai and Inner Mongolia).

Please click through for more takeaways of individual companies...

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China
Software

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AI: artificial intelligence

API: application programming interface

ARPU: average revenue per user

CRM: customer relationship management

ERP: enterprise resource planning

IT: information technology

LLM: large language model

POE: privately-owned enterprise

RaaS: results-as-a-service

SaaS: software-as-a-service

SOE: state-owned enterprise

GPU: graphics processing units.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 6. Price Objective Basis/Risk on page 4.

12975163

Kingdee (268 HK) – Buy

Accelerated revenue growth in 1Q26; NDR for large enterprises to recover

Mgmt. sees faster revenue growth in 1Q26, compared with 12% YoY in FY25, indicating solid downstream customer demand, along with strong OCF and profitability improvement. Despite a decline in NDR (net dollar retention) for large enterprises to 103% in 1Q26 (vs. 110% in 4Q25), mgmt. expects the number to exceed 110% in 4Q26.

Double-digit % YoY revenue growth and >7% adjusted NPM in FY26E

Mgmt. reiterated FY26E target, namely: 1) double-digit% YoY revenue growth, 2) adjusted NPM to exceed 7%, and 3) >20% YoY OCF (operating cash flow) growth. Total number of employees further reduced by 6% YTD to around 10.6k, mainly on R&D and implementation staff, and mgmt. plans to reduce the total number of employees to less than 10k by FY28E, which we think is a conservative target.

FY26 AI-native product revenue to exceed RMB1bn

Contract value of AI-native products was RMB230mn in 1Q26 and mgmt. expects revenue from AI-native products to exceed RMB1bn in FY26. Kingdee will host a product launch event on 20 May to release more AI agent products, featuring multi-function and multi-agent applications.

Meitu (1357 HK) – Buy

Promising ARPU uplift potential, especially productivity tools

Mgmt. sees promising ARPU uplift potential across both products for leisure and productivity tools. For leisure products, a rising portion of overseas subscribers could drive ARPU uplift, given higher user subscription fees than in the domestic market. For productivity tools, ARPU uplift mainly comes from rising usage of AI-driven features driven by AI agent capabilities.

Long-term GPM to be at c.70%

Mgmt. is confident in maintaining GPM at c.70% in the long term, despite rising AI credits consumption from productivity tools. We believe the third-party API cost is manageable, as Meitu constantly shifts high-usage functions from third-party to its self-developed / fine-tuned vertical models, which could fulfill most user requirements.

More AI functions featuring agent teams to launch

Meitu will host its Image Festival in mid-Jun 2026, and is expected to launch more AI functions for productivity tools (e.g., *DesignKit* and *Kaipai*) featuring agent teams.

Recent investor feedback: getting back to fundamentals

We believe Meitu's 1Q26 results may have partially alleviated market concerns on potential AI-driven disruption, at least in the near term, as robust 1Q26 product revenue growth with continued subscriber expansion underscores the resilience of its business model. Recent feedback from a few investors we spoke to suggests to us market focus may be gradually shifting away from AI disruption concerns toward more fundamental drivers, including sustainability of subscriber growth, ARPU uplift and AI-related cost optimization, which could be key variables for valuation re-rating going forward.



Agora (API US) - Buy

Promising AI revenue upside; likely to contribute 5% of total 4Q26 revenue

Mgmt. sees gradual usage ramp-up of conversational AI, especially in scenarios such as customer services, companionship toys, and robotics. Mgmt. expects conversational AI business to contribute c.5% of total 4Q26 revenue.

Competition in the China market is expected to moderate

Agora Inc ranks No.1 in China real-time engagement (RTE) market by revenue, with its revenue approximately 1.5x that of No.2 player (i.e., Tencent) in 2025. Mgmt. shared that the third-largest player is likely to slow down its pace of new customer acquisition due to financial constraints, and expects the competitive landscape in China to ease.

Targets operating profit breakeven in 4Q26

Mgmt. targets to achieve operating profit breakeven in 4Q26, and believes that 15% OPM is achievable in the next 2-3 years, driven by revenue growth and operating leverage.

Chinasoft (354 HK) – Neutral

Soft top-line growth in FY26

Mgmt. expects revenue to grow low-single-digit % YoY in FY26, as rapid revenue growth of AI products & services (mgmt. targets 70% YoY growth) should be partly offset by revenue decline in traditional IT outsourcing business due to soft downstream demand. Mgmt. estimates the total number of employees will decline at a pace of 1k per month in FY26.

GPM to be largely flat YoY in FY26

Despite higher GPM in the AI business, which could reach 40%, margin pressure lingers for IT outsourcing business, dragged by 1) employee optimization, 2) pricing reduction from downstream customers, and 3) industry competition. Overall, mgmt. expects GPM to be largely flat YoY in FY26.

Ming Yuan Cloud (909 HK) – Neutral

CRM SaaS remains core business, with monetization shifting toward AI models

Mgmt. reiterated that the CRM SaaS anchors the business, covering end-to-end digitalization from online lead generation to offline conversion. Monetization is evolving from traditional project-based subscription toward a mix of subscription and usage-based models linked to AI. Despite weaker new project activity, average revenue per project is improving, driven by higher adoption of AI-related products, per management.

Project construction SaaS still early-stage, with increasing exposure to SOEs

The project construction offering provides modular solutions across investment, procurement and construction management. Management highlighted a growing customer base among State-owned enterprises, particularly in infrastructure-related sectors. Asset management and operation SaaS continues to expand, mainly serving SOEs in commercial property and leasing.

Easing top-line pressure; profitability supported by cost control & AI

Mgmt. expects continued pressure amid weak property sales, although the pace of decline is narrowing. Margin improvement is driven by operating expense control and efficiency gains from AI adoption, supporting progressively improving profitability. New initiatives, including outcome-based monetization and overseas expansion, remain at an early stage.

Qi An Xin (688561 CH) – Underperform

Targets faster revenue growth with OCF breakeven in FY26

In FY26, mgmt. targets to achieve faster revenue growth (vs. +1% YoY in FY25), and OCF breakeven (vs. -RMB61mn in FY25). Financials, energy, telcos, technology, manufacturing and certain special industries accounted for nearly 70% of total FY25 revenue.

More AI-related cybersecurity budget in 2027

As large enterprises from critical infrastructure sectors have already set their 2026 IT budgets, mgmt. sees limited incremental budget for AI related cybersecurity products / services in 2026. On a positive note, some customers are conducting proof of concept (POC) projects with cybersecurity vendors, and mgmt. expects more AI related budgets to fall in 2027. Besides, Qi An Xin has set up a separate subsidiary to operate AI-related business, with revenue around RMB200-300mn in FY25.

Narrowing net loss while credit impairment may be a drag in 1-2 years

Mgmt. expects net loss to narrow in FY26, compared with a net loss of RMB1.29bn in FY25. However, there could still be RMB400-500mn credit impairment loss p.a. in FY26-27, given around RMB5bn account receivables, as of end-FY25.

Xunce (3317 HK) – Not covered

AI real-time data infrastructure feature speed, accuracy and scalability

Mgmt. shares three key features of its AI real-time data infrastructure and analytics solutions, including 1) speed: real-time data aggregation, processing, and output exceeding industry average speed; 2) accuracy: automated data output with data consistency and traceability, optimizing efficiency and flexibility across businesses; and 3) scalability: inherent scalability given the modular composition of solutions, enabling highly flexible customization of solutions based on customer's needs.

Deepening vertical expansion drives margin improvement

Xunce has expanded its business beyond asset management to other emerging fields such as smart energy, telecommunications, electric power, urban operation, robotic data platforms, and commercial aviation. Mgmt. shares that Xunce normally undergoes an investment phase of approximately 1–3 years when entering a new vertical, during which GPM would be relatively lower. As the business scales within each vertical, GPM is expected to gradually improve over time.

Token-based revenue to account for 20% of FY26E total

Xunce's token-based ARR (annual recurring revenue) grew rapidly from RMB60mn in Jan 2026 to over RMB200mn in Apr 2026, per mgmt. Overall, mgmt. expects token-based revenue to contribute 20% of total revenue in FY26E.

Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
API	API US	Agora	US\$ 3.89	C-1-9
CFTLF	354 HK	Chinasoft Int'l	HK\$ 3.18	C-2-7
KGDEF	268 HK	Kingdee	HK\$ 8.23	C-1-9
MEIUF	1357 HK	Meitu	HK\$ 4.72	C-1-7
XWTAF	909 HK	Ming Yuan Cloud	HK\$ 2.07	C-2-7
XQTDF	688561 CH	Qi An Xin	CNY 29.3	C-3-9

Source: BofA Global Research

Price objective basis & risk

Agora (API)



Our PO of US\$7.1 is based on 4x 12mths Fwd estimated P/S, a 30% discount to China SaaS peers due to lower profitability.

Upside risks: (1) stronger-than-expected customer demand growth boosted by GenAI, (2) faster-than-expected new customer acquisition, and (3) better-than-expected earnings improvement.

Downside risks: (1) regulations including but not limited to listing status, anti-trust and data and network security, political tension, and intensified competition, (2) customers doing in-house and potential loss of key customers, and (3) macro headwinds which lead to soft customer demand.

Chinasoft International (CFTLF)

We set our PO of Chinasoft at HK\$3.6, based on 14x 12mth forward P/E, set as 0.5SD below its historical average, given its soft growth outlook. We think that P/E is an appropriate valuation metric because Chinasoft has been generating positive earnings since 2011, and P/E can capture its solid earnings growth.

Upside risks: (1) better-than-expected efficiency gain from AI adoption, (2) better-than-expected new clients acquisition, and (3) stronger-than-expected revenue contribution from new business (Cloud intelligence + HarmonyOS, AI computing service, ERP solutions).

Downside risks: (1) slower-than-expected revenue recovery from key clients, (2) revenue concentration risks regarding key accounts, and (3) intensified competition in the IT outsourcing industry.

Kingdee International Software (KGDEF)

Our SOTP-based PO of HK\$13.9 is based on 1) 6x 12-month forward P/S for subscription business (SaaS), 15% premium to the average of the U.S. leading SaaS companies due to Kingdee's faster growth, 2) 4x 12-month forward P/S for non-subscription business, in-line with the average P/S of China software companies.

Upside risks: (1) stronger topline growth driven by AI, (2) slower-than-expected decline of ERP business, and (3) better-than-expected operating margin improvement.

Downside risks: (1) intensified SaaS competition, (2) slower-than-expected cloud service revenue or subscription revenue growth, (3) valuation pushback on weaker stock market sentiment.

Meitu Inc. (MEIUF)

Our PO of HK\$7.4 is based on 20x 12-month forward adjusted P/E, which is set at 25% premium at average of leading global SaaS companies, given stronger earnings growth outlook for Meitu in FY25-28E. Our PO implies 0.7x PEG, lower than the average of 1.0x for leading global SaaS companies, which we believe is undemanding. We believe it is more relevant to compare Meitu with global leading SaaS players as 1) most China SaaS companies are still loss making or likely to just start being profitable in coming years, and 2) Meitu has a higher revenue portion from overseas market (c.40% in FY25) than China peers (low-single-digit % on average). We adopt a P/E valuation for Meitu given its solid business expansion with high profitability, which we think can best capture its earnings growth momentum.

Upside risks: (1) faster-than-expected paying user growth, (2) faster-than-expected overseas expansion, (3) strategic partnership platform companies, and (4) commission rate cut from Apple App Store or Android Play Store.

Downside risks: (1) slower-than-expected paying user conversion, (2) competitive pressure, (3) regulatory and geopolitical risk, and (4) valuation compression.

Ming Yuan Cloud (XWTAF)

Our PO of HK\$3.0 is derived by SOTP, based on (1) 4x 12mths Fwd P/S for cloud services revenue, (2) 10x 12mths Fwd P/E for on-premise software and services. Our target multiple of 4x P/S for SaaS business is set at 20% discount to China peer average given its larger revenue exposure to property with growth headwinds. Our 10x earnings multiple for ERP is set by taking c.50% discount to the average of China software players. The discount is due to its gloomy growth outlook (single-digit % CAGR in 2025-27E, per our estimation).

Upside risks: (1) stronger-than-expected revenue recovery, (2) better-than-expected margin improvement, (3) better-than-expected cost control measures, (4) favorable policies to trigger faster-than-expected recovery of real estate industry.

Downside risks: (1) weaker-than-expected recovery of residential property market in China, (2) unfavorable regulations and further downturns in real estate industry, (3) slower-than-expected expansion in the industrial and infrastructural industry.

Qi An Xin (XQTDF)

We derive our PO of RMB21.0 based on 3x 12-month forward Price/sales (P/S), which is set at 20% discount to the average P/S valuation of domestic cybersecurity companies. We believe this discount is warranted given its operating cash flow pressure on lengthened A/R days, which is longer than the peer average.

Upside risks: (1) stronger-than-expected cybersecurity demand recovery from government in China, (2) unexpected favorable policies to accelerate self-sufficiency, and (3) better-than-expected operating cash flow improvement.

Downside risks: (1) intensified competition in cybersecurity market in China, (2) lower-than-expected end-user budget on cybersecurity products or services, and (3) persisting operating cash flow pressure or delayed timetable for breakeven.

Analyst Certification

We, Daley Li, CFA and Harry Zhuang, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLf	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Krafton	XKINF	259960 KS	Susie Lee
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	Plan B Media PCL	XMKTF	PLANB TB	Suppamong Iemkongaek, CFA, CMT
	REA Group	RPGRF	REA AU	Sriharsh Singh
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppamong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
	Zomato (Eternal)	XMWRF	ETERNAL IN	Sachin Salgaonkar
NEUTRAL				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meituan	MPNGF	3690 HK	Joyce Ju
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NC	NCSCF	036570 KS	Susie Lee
	Nykaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	VGI Public Company Limited	XZQHF	VGI TB	Suppamong Iemkongaek, CFA, CMT
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA

UNDERPERFORM

	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Ping An Healthcare and Technology	PANHF	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSF	300496 CH	Daley Li, CFA
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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Meitu, Ming Yuan Cloud, Qi An Xin.

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